



MCCARREN ADVISORY GROUP

FAMILY BUSINESS GUIDE

The Family Business Continuity Guide

Protecting the family, the legacy, and the value of the business — all at the same time.

A field guide from

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WHY THIS MATTERS

A family business is a different animal

Every business has to manage money, people, and operations. A **family** business has to do all of that while also managing love, loyalty, history, and the dinner table. Those two systems — the family and the enterprise — run on completely different rules, and most trouble starts where they quietly collide.

In a family company, three roles sit on top of each other: you are family, you are an owner, and you are a manager. Your daughter may be a shareholder, an employee, and your child all at once. When those hats get confused — when a management decision is heard as a family rejection, or a family loyalty drives a business call — that's where good companies and good relationships start to fray.

The three hats every family-business decision wears

Family (who we love and protect) • **Ownership** (who holds equity and risk) • **Management** (who runs the day-to-day). Almost every conflict traces back to one of these being confused for another. Naming which hat you're wearing is half the battle.

The stakes are real. The most-cited research in the field suggests only about **30% of family businesses survive into the second generation, roughly 12% into the third, and around 3% into the fourth.** Those exact figures are debated, but the pattern is not: most family companies don't fail because of the market. They fail because of unspoken assumptions, unclear roles, and a transition nobody planned.

~30%

of family businesses reach the second generation

~12%

make it to the third generation

~3%

survive into the fourth generation and beyond

The five conversations families avoid

You don't need a 200-page plan to protect your family and your business. You need to actually have five conversations most owners keep putting off — on purpose, out loud, and before a health scare or an offer forces them.

1 Who is actually in charge — and of what?

Role clarity beats good intentions. Titles, decision rights, and reporting lines should be written down, not assumed around the kitchen table.

2 Fair is not the same as equal.

The child who runs the company and the child who moved away have different roles. Deciding how to be fair — in pay, equity, and voice — is the conversation that quietly saves families.

3 How do people earn their way in?

An employment policy — qualifications, outside experience, how in-laws and next-gen are hired and reviewed — protects both the business and the relationships.

4 Money, out in the open.

Compensation, distributions, who gets to buy in or cash out, and what the business owes the family versus what the family owes the business. Silence here breeds resentment.

5 What happens if you're suddenly gone?

If you were unreachable for a month starting tomorrow, who signs, who decides, who leads? A one-page emergency plan is the kindest thing you can leave your family.

“Most owners don't avoid these talks because they don't care. They avoid them because they care so much that they'd rather not risk the peace today — even though silence is what actually puts the family at risk tomorrow.”

SHAUN MCCARREN, MCCARREN ADVISORY GROUP

Governance isn't bureaucracy — it's a referee

Governance sounds like a big-company word. In a family business it's simpler than that: it's a few agreed-upon forums and rules so that decisions get made in the right room, by the right people, without becoming personal.

Three lightweight structures that do most of the work

A family forum — a regular time to talk about the family's relationship to the business (values, expectations, next-gen involvement) that is kept separate from operating meetings. **An advisory board** — even two or three trusted outsiders who ask the questions family can't. **Clear decision rights** — a simple map of what the owner decides, what management decides, and what needs a family vote.

The goal isn't more meetings. It's fewer landmines.

When everyone knows which decisions happen in which room, disagreements stay about the business — not about who feels disrespected. That single shift preserves both enterprise value and Thanksgiving dinner.

SELF-ASSESSMENT · IS YOUR FAMILY BUSINESS READY?

- ☐ Roles and decision rights are **written down**, not just understood.
- ☐ We have a clear, fair policy for **how family members are hired, paid, and reviewed**.
- ☐ A capable **successor or #2** is identified and actively being developed.
- ☐ The business could run for **30 days without the founder** and not stall.
- ☐ We've openly discussed **fair vs. equal** across children in and out of the business.
- ☐ There is an **emergency plan** if the owner is suddenly unavailable.
- ☐ Ownership, estate, and buy-sell documents are **current and consistent** with our intentions.
- ☐ We have at least one **trusted outside voice** in major decisions.
- ☐ Key processes live in **systems and documents**, not only in one person's head.
- ☐ We've named a **timeline** for the founder's transition — even a rough one.

Fewer than seven checked? That's normal — and it's exactly the gap worth closing while you still have time and choices.

You don't have to figure this out alone

I'm Shaun McCarren, and I'm a family-business owner myself — I've run a company, met a payroll, and lived the same highs and lows you do. I started McCarren Advisory because I've watched how easy it is to put off these conversations, and how much harder that makes things for the people you love and for the business you built.

Part succession planner, part hands-on advisor, I fill the gap that usually sits between your attorney and your accountant — the person who actually helps you build the plan and then execute it. I come from manufacturing, automation, and finance, so I fix what's really holding value back, then build the path to a confident transition.

Start with a confidential conversation

No pitch, no pressure — 30 minutes to understand your situation and tell you honestly if and how I can help. Most owners start with a low-cost Readiness Assessment: a walkthrough, a few management interviews, and a written risk map and roadmap you keep either way.

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